

DETAILED PROJECT REPORT

On
Establishment of

SRI LAKSHMI READYMADE GARMENTS

under 'AP CMEP'

District Guntur
Location D.No. 12-4-18, Brodipet, Guntur
Entrepreneur name Smt. Anitha Reddy

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1 Cover & eligibility

Unit / Project Name

Sri Lakshmi Readymade Garments

District

Guntur

Location

D.No. 12-4-18, Brodipet, Guntur

Nature of Business

Readymade cotton garment manufacturing

Major Products

Cotton shirts, cotton kurtas, school uniforms

Activity band

manufacturing

Booster category

woman

AP domicile

Yes

Entrepreneur name

Smt. Anitha Reddy

Urban or rural

urban

EDP training

completed

Earlier government subsidy

No

Only one person in the family for this scheme

Yes

2 Executive summary & process

Sector / industry type

Textiles — readymade garments

Short intro — what the unit does

The unit will stitch purchased cotton fabric into shirts, kurtas and school uniforms for retailers and school suppliers in Guntur district. It is a small new manufacturing workshop, not a trading counter and not a spinning or dyeing mill.

Executive summary

Sri Lakshmi Readymade Garments is a proposed new manufacturing unit at Brodipet, Guntur, for cotton shirts, kurtas and school uniforms. Smt. Anitha Reddy, a Guntur resident with six years in garment retail, will run the unit as a proprietorship. The project cost is ₹42.20 lakh, of which the promoter brings ₹6.30 lakh and Union Bank of India is proposed for a term loan of ₹35.90 lakh at 11% for 84 months with a 6-month moratorium. Twelve industrial sewing machines, a cutting section and steam finishing will produce about 80 pieces a day on one shift for 300 days. Year-1 utilisation is 55% and rises to 90% by 2031-32. The unit is urban, the promoter is a woman, EDP is complete, and no family member has taken this subsidy before. Buyers are school suppliers, local retailers and two wholesale traders in Guntur and Vijayawada.

Process of manufacture

Fabric is received in lots, checked for width, shade and defects, and stored on racks. Markers are laid on the cutting table and panels are cut, bundled and ticketed by size and style. Bundles move to single-needle machines for assembly, then to overlock and button-hole machines. Each bundle is inspected for seam strength, measurement and loose thread. Garments are steam-pressed, folded, size-labelled and packed in dozens. School-uniform lots are packed against the buyer's size ratio. Rejects are recut or sold as seconds. Dyeing and spinning are not part of this unit. Water is used only for steam irons and housekeeping.

3 Location

Brief location / market catchment

The workshop is on a commercial lane in Brodipet, Guntur, about 2 km from Guntur railway station and on the city bus route toward Vijayawada. Fabric merchants in Patnam Bazar and buyers in Guntur and Vijayawada are within a short road trip. Power and municipal water are available on the street.

4 Unit profile & capacity

Present / proposed activity summary

The unit is not yet in production. The promoter currently helps in a family cloth shop and will shift to full-time supervision once the machines are installed. Commercial stitching is proposed to start in November 2026.

Start / commencement

Proposed commencement November 2026

Tools / process level

Industrial single-needle, overlock and button machines with manual cutting

Capacity / throughput

80 garments per day at full capacity

Products, share of output and selling price

Cotton shirts — 40 — 450; Cotton kurtas — 35 — 650; School uniforms — 25 — 380

Number of looms / machines

12

Shifts per day

1

5 Market & offtake

Target customers / market

School-uniform suppliers, neighbourhood garment retailers in Guntur, and two wholesale traders who supply Vijayawada. No export is proposed in the first three years.

Demand / footfall note

Local school suppliers place two bulk orders a year, before June and December. Retailers take weekly lots of shirts and kurtas. The promoter already has enquiry letters from two uniform contractors and one Brodipet retailer.

6 Premises & utilities

Shop / shed / workplace name

Sri Lakshmi Readymade Garments workshop

Premises note (own / lease / rent)

Leased first-floor workshop. Five-year lease with a two-year lock-in. Landlord: K. Srinivasa Rao, Brodipet, Guntur.

Workshop area (sq.ft.)

1800

Production floor (sq.ft.)

1200

Storage / packing area (sq.ft.)

350

Office area (sq.ft.)

250

Lease period (years)

5

Water use and dye wastewater

About 200 litres a day for steam irons, drinking and floor washing. No dyeing and no process effluent. Domestic wastewater goes to the municipal drain.

7 Applicant / firm**Firm / proprietor name**

Sri Lakshmi Readymade Garments

Legal status

Proprietorship

Correspondence address

D.No. 4-12-7, Arundelpet, Guntur, Andhra Pradesh

Name	Relation	Age	Education	Experience	Phone
Smt. Anitha Reddy	W/o K. Ramesh Reddy	34	B.Com., Acharya Nagarjuna University	6	9848012345

8 Upgrade project cost

Land (₹ Lakhs)

0

Building / shed (₹ Lakhs)

4.5

Utilities & Infrastructure (₹ Lakhs)

1.4

Preliminary & Pre-operative (₹ Lakhs)

1.2

Machinery / equipment (₹ Lakhs)

18.4

Working capital (₹ Lakhs)

13.1

Furniture and fixtures (₹ Lakhs)

1.6

Security deposits (₹ Lakhs)

2

Raw material stock (₹ Lakhs)

6.5

Work in progress (₹ Lakhs)
1.8

Finished goods (₹ Lakhs)
3.2

Receivables (₹ Lakhs)
4

Supplier credit (₹ Lakhs)
3.2

Cash (₹ Lakhs)
0.8

Particulars	Already incurred	To be incurred	Total
Land	–	–	–
Building / shed	–	4.50	4.50
Machinery / equipment	–	18.40	18.40
Furniture and fixtures	–	1.60	1.60
Security deposits	–	2	2
Working capital	–	13.10	13.10

Description	New / used	Supplier	Qty	Unit cost (₹ Lakhs)
Single-needle lockstitch machines	new	Juki dealer, Vijayawada	8	0.42
Overlock machines	new	Juki dealer, Vijayawada	2	0.65
Button-hole and button-stitch set	new	Jack Machines, Guntur	1	0.85
Cutting table with straight knife	new	Local fabricator, Guntur	1	0.55
Steam irons and vacuum table	new	Naomoto stockist, Hyderabad	2	0.35
Generator 15 kVA	new	Kirloskar dealer, Guntur	1	2.40

9 Means of finance (critical)**Own / promoter contribution (₹ Lakhs)**

6.3

Government Grant (₹ Lakhs)

0

Bank Loan (₹ Lakhs)

35.9

Other Sources (₹ Lakhs)

0

Cash credit / working capital limit (₹ Lakhs)

8

Bank name

Union Bank of India, Brodipet branch, Guntur

Interest rate (% per year)

11

Moratorium (months)

6

Loan tenure (months)

84

Subsidy rate (%)
25

10 Operating cost & sales**Raw Material Cost (₹ Lakhs)**

27.8

Power Cost (₹ Lakhs)

1.8

Wages (₹ Lakhs)

14.4

Maintenance (₹ Lakhs)

1.2

Administrative Expenses (₹ Lakhs)

2.4

Marketing Expenses (₹ Lakhs)

0.6

Annual Production Volume

13200

Annual Sales Realization (₹ Lakhs)

66.3

Raw materials

Cotton shirting and suiting — Shirts and uniforms — Weekly lots from Patnam Bazar merchants; Kurta cotton and lining — Kurtas — Fortnightly purchase against confirmed orders; Thread, buttons, labels, packing — Stitching and packing — Monthly consumable stock

Staff by role and monthly pay

Production supervisor — 1 — 22000; Tailors — 10 — 12000; Helpers and pressers — 4 — 9000; Accounts and dispatch — 1 — 15000

Installed capacity per day

80

Working days in a year

300

Capacity utilisation (%)

55

Selling price per unit (₹)

502

Rent per month (₹)

30000

Salaries per month (₹)

68000

Power per month (₹)

15000

Annual expense increase (%)
5

Capacity utilisation by projected year
2026-2027 — 55; 2027-2028 — 65; 2028-2029 — 75; 2029-2030 — 80; 2030-2031 — 85; 2031-2032 — 90; 2032-2033 — 90; 2033-2034 — 90

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Financial projections (actuals and estimates)

Break-even (capacity %)
42

FINANCIAL PROJECTIONS

Rs. In Lakhs

Sl. No.	Particulars	Previous			Projected							
		2023-2024	2024-2025	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030	2030-2031	2031-2032	2032-2033	2033-2034
1	Sales realisation	–	–	–	66.30	78.40	90.50	96.50	102.60	108.60	108.60	108.60
2	Raw material	–	–	–	27.80	32.10	36.20	38.20	40.20	42.20	42.20	42.20
3	Wages	–	–	–	14.40	15.80	17.20	18	18.80	19.60	19.60	19.60
4	Power	–	–	–	1.80	2	2.20	2.30	2.40	2.50	2.50	2.50
5	Salaries	–	–	–	8.20	8.60	9	9.40	9.80	10.20	10.60	11
6	Rent	–	–	–	3.60	3.80	4	4.20	4.40	4.60	4.80	5
7	Maintenance	–	–	–	1.20	1.30	1.40	1.50	1.60	1.70	1.80	1.80
8	Administrative expenses	–	–	–	2.40	2.50	2.60	2.70	2.80	2.90	3	3.10
9	Interest	–	–	–	3.40	3	2.60	2.20	1.80	1.40	1	0.60
10	Depreciation	–	–	–	2.60	2.30	2	1.80	1.60	1.40	1.20	1.10
11	Income tax	–	–	–	0.20	1.40	2.70	3.20	3.80	4.40	4.40	4.30
12	Net profit	–	–	–	0.70	5.60	10.60	13	15.40	17.70	17.50	17.40

Term loan ₹ 35.90 Lakhs at 11% . Moratorium 6 months. Tenure 84 months. Indicative EMI ₹ 0.65 Lakhs.

Average DSCR 2.06. Break-even sales ₹ 63.62 Lakhs.

Machinery @ 15% WDV. Year 1 addition 18.40, closing 15.64.

Building @ 10% WDV. Year 1 addition 4.50, closing 4.05.

Furniture and fixtures @ 10% WDV. Year 1 addition 1.60, closing 1.44.

12 Implementation schedule

Commercial production date (CoD)

2026-11-01

Milestones

Loan appraisal and lease registration (2026-07-01 → 2026-07-31); Workshop flooring, electrical work and machine order (2026-08-01 → 2026-09-15); Installation, trial stitching and staff joining (2026-09-16 → 2026-10-15); First school-uniform and retail lots (2026-10-16 → 2026-11-01)

Risks and how they will be handled

Cotton fabric price rise — Buy against confirmed orders and keep two merchants.; Tailors leaving before the school season — Keep a standby list of four tailors and pay piece-rate on urgent lots.; Slow payment from uniform contractors — Cap credit at 30 days and take an advance on bulk orders.; Machine downtime in peak months — Annual service contract and a spare single-needle machine.

13 Documents & uploads

Udyam Certificate

Uploaded

Machinery / Equipment Quotations

Uploaded

AP Domicile Proof

Uploaded

Bank Passbook

Uploaded

Education certificate

Uploaded

EDP certificate

Uploaded

Lease deed / premises proof

Uploaded

Yarn, dye and packing rate sheets

Uploaded

Dealer enquiries or purchase orders

Uploaded